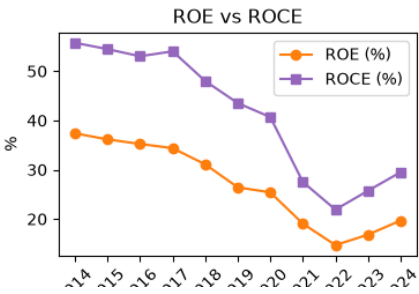
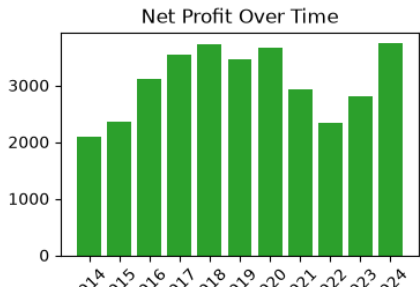
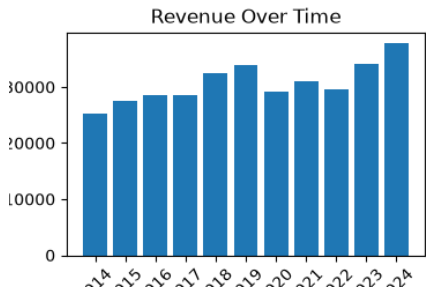
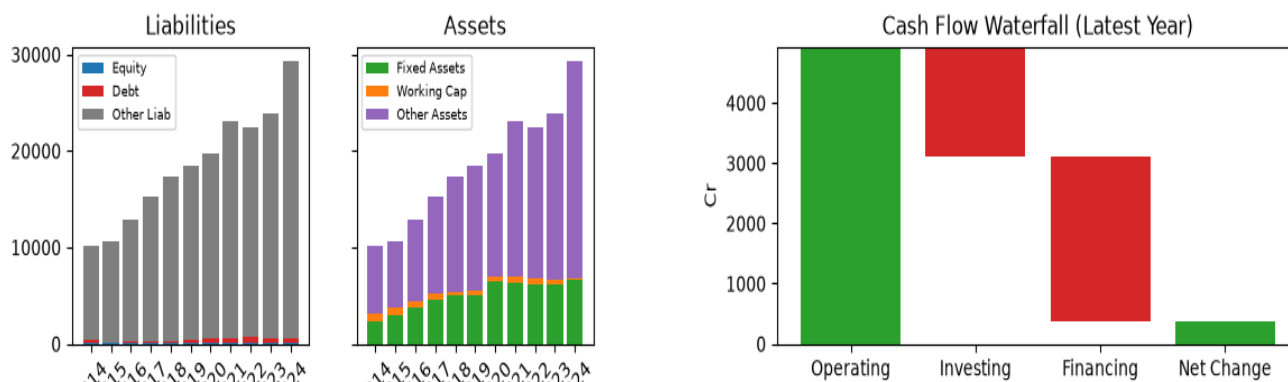


Hero MotoCorp Ltd (HEROMOTOCO)

Revenue Rs. 37789 Cr	Net Profit Rs. 3742 Cr	ROE 19.7%
ROCE 29.5%	D/E Ratio 0.03	Asset Turnover 1.29



Financial Deep Dive & Insights



Capital Allocation Pattern: 4: Healthy / Mature

Strengths (Pros)

- Company has strong Return on Equity of 19.7% ($\geq 15\%$).
- Company has strong Return on Capital Employed of 29.5% ($\geq 15\%$).
- Company is almost debt free.
- Company generates positive Free Cash Flow of ₹3095 Cr.
- Company has been maintaining a healthy dividend payout of 75.0%.
- Company has strong interest coverage ratio of 8.4x.
- Company operates with a conservative debt-to-equity ratio of 0.03.
- Company efficiently utilises assets with an Asset Turnover ratio of 1.29x.
- Company demonstrates strong cash conversion with FCF Conversion of 0.83x.
- Company is a Nifty 100 constituent, signifying size and liquidity benchmark status.

Weaknesses (Cons)

- Company has weak revenue growth of 2.1% CAGR over last 5 years.
- Stock valuation incorporates a premium that may limit near-term upside.